Olist leadership decisions

Historical marketplace assessment | 2016-2018 | All amounts BRL

The business is growing. Delivery reliability and repeat purchases deserve the next operating budget.

Delivered merchandise value totals **R$ 13.22m** across **96,478 orders**, with AOV of **R$ 137**. Jan-Jul 2018 GMV grew 161.6% versus Jan-Jul 2017, alongside 160.8% order growth. The top five categories generate 39.8% of GMV. SP, RJ and MG generate 63.4%.

8.11% of 96,470 eligible deliveries are late. Late orders average **2.57 stars** versus **4.29** on time. The gap is -1.73 points (95% CI -1.77 to -1.69). Welch and Spearman tests both have $p < 0.001$. This strong association supports an intervention experiment, not a causal revenue claim.

Three changes to fund first

1. Pilot early delivery-risk alerts. Owner: operations. First 30 days.
Logistic regression won validation. On the July test it catches 23.6% of late orders at 10.3% precision, with ROC-AUC 0.690 and average precision 0.097. It flags 10.3% of orders. Start with a low-cost randomized intervention and a daily workload cap. 65 flagged July orders were actually late. A 20% intervention-success scenario means about 13 fewer late outcomes. Track late orders avoided per intervention and customer reviews.

2. Investigate the highest-exposure seller and route failures. Owner: logistics. Days 30-60.
35 sellers have at least 100 eligible orders and a Wilson lower bound above marketplace lateness. Their deduplicated portfolio includes 1,781 late orders. A 20% reduction scenario corresponds to **356 fewer late outcomes** and **R$ 44,192** of associated merchandise exposure. Validate current-period persistence, seller handling and route capacity before action. Screening many sellers does not establish individual significance.

3. Test second-purchase offers. Owner: CRM. Days 60-90.
Only 3.0% of delivered customers repeat within the extract. The mature-cohort 90-day repeat measure is 2.28%. Target the 4,226 recent high-value first-time buyers identified at the snapshot. A one-percentage-point incremental repeat uplift implies about 42 additional orders, or R$ 5,791 at overall AOV before offer costs. Use a holdout and measure incremental contribution after incentives.

Decision guardrails

GMV is merchandise value, not platform net revenue or profit. No margin, refunds, take rate or intervention costs are available. Scenario values are illustrative and overlap, so do not add them. Historical delivered-only labels omit unresolved and cancelled orders. Scores need calibration and checkout feature availability needs event-log verification. April-June diagnostics informed a calendar-feature correction; July remained the final evaluation window. Revalidate with current data before rollout.

Source: the nine supplied Olist CSVs. Reproducible calculations, eligibility rules, statistical tests, model splits and uncertainty appear in the companion notebook and dashboard.